

COURTESY PIB

THE WISHLIST

- States must legislate activity map to ensure clarity in the devolution of powers
- All rural development schemes of the Centre must be brought under panchayats. Parallel agencies be abolished.
- Devolution of judicial and police powers to panchayats may be considered
- Elected representatives from village and taluka levels must get representation on district planning committees
- Administrative and financial procedures must be simplified
- Centre and states must ensure regularity and clarity in flow of funds to panchayats
- To match functions and finances, a window must be opened in all Budgets for flow of funds to panchayats
- Central Finance Commission grants must supplement the funds devolved to panchayats and not be subsumed into funds from states
- Panchayats must fully utilise their powers of taxation and user charge collection
- They should have access to bank credit to take up development projects
- Confidential reports of officials under panchayats should be written by their presidents at appropriate level
- Panchayat representatives must get travel allowance, daily allowance besides adequate remuneration and their national network be created
- Office infrastructure must be provided to all panchayats
- States must extend the reservation cycle to three five-year terms and minimum term of panchayat chairpersons should be five years
- Powers to dismiss panchayats vested with officers must be removed from state laws



GATHERING FORCE:
Aiyar has roped in rural youth in his mission

FOR OVER 46 MONTHS, Aiyar has been battling ministries for devolution of power but his evangelism has few takers.

panchayats only get informed and can monitor the works. But in the absence of punitive powers, the block development officer can ignore them. So, the charter wants panchayats to be allowed to write the confidential reports of officers and be made co-signatory on payments. Without doubt, this combination of social and formal audit could perhaps make outlays translate into outcomes. There is no guarantee that the panchayats will deliver better but the belief is that social audit will work. The proof of the pudding is visible in Kerala where social indices reflect the involvement of panchayats in social programmes. But the idea will completely overturn the current power hierarchy of babus, MLAs and MPs.

Ironically, the connect between inclusive growth and panchayats to improve governance could not be stronger. With 770 million rural population stuck in the queue for a place on the 9 per cent GDP growth gravy train, it is imperative to bring in grassroots participation in converting the outlays on education, health, agriculture and rural development into visible outcomes. As Aiyar says, "If we

want to move from India prospering to Indians prospering, there is no alternative to Panchayati Raj." He bolsters his bluster with a simple calculation. Conventional wisdom drawn from a 1989 Planning Commission study says that only 15 paise of a rupee spent reaches the poor as 85 paise is lost in establishment costs and leakage. "If we can bring down the costs from 85 paise to 70 paise, we would have doubled the spend on the poor from 15 paise to 30 paise."

Clearly involvement of the stakeholders will change the paradigm of development. But the economic logic is in conflict with political reality. Neither at the Centre nor at the state level will the current hegemony yield to Panchayati Raj institutions easily. As Aiyar told a TV audience recently, "Panchayati Raj is not a pre-cooked meal that can be heated and served." It requires sustained struggle and evangelism for it to become a revolution. Perhaps, Galbraith's theory of countervailing pressure from the 26 lakh children of this lesser democracy will eventually overcome or co-opt the current hierarchy of 4,896 MLAs and MPs who rule India. *with Shyamal Yadav*